

SMCI

Super Micro Computer, Inc.

NASDAQ · GYIS / Investment Club

RECOMMENDATION	CONVICTION	12-MO PRICE TARGET	CURRENT	IMPLIED RETURN	HORIZON
HOLD	SPLIT*	\$46	\$30.50	+51%	12 mo

*HIGH conviction Thesis 2 (margin) · MED-HIGH Thesis 1 (growth) · LOW Thesis 3 (governance). Rating held at HOLD — economics are BUY-like (+51%) but the unresolved governance streams cap conviction. Faithful to the committed thesis document.

REINFORCED

THEESIS 1

AI GROWTH & DIVERSIFICATION

TOP-CUSTOMER CONCENTRATION

63% → 27%

- Q2 – Q3 FY26 · SMCI 10-Q smci-20260331
- Enterprise channel **15% – 28%** of revenue (+46% YoY)
 - FY26 guide reaffirmed **\$38.9–40.4B**
 - AI-GPU platforms **>80%** of revenue; record backlog

STRENGTH: STRONG

ALREADY INFLECTED

THEESIS 2

MARGIN RECOVERY

NON-GAAP GROSS MARGIN, Q3 FY26

10.1%

- vs 8% bullish threshold in original report · +370bp QoQ
- GAAP GM **9.9%** vs 6.3% in Q2 FY26
 - DCBBS GM **>20%**, >25% of profit (CEO Liang)
 - Q2 trough was one-time expedite (CFO Weigand)

STRENGTH: STRONG

REFRAMED

THEESIS 3

GOVERNANCE DISCOUNT

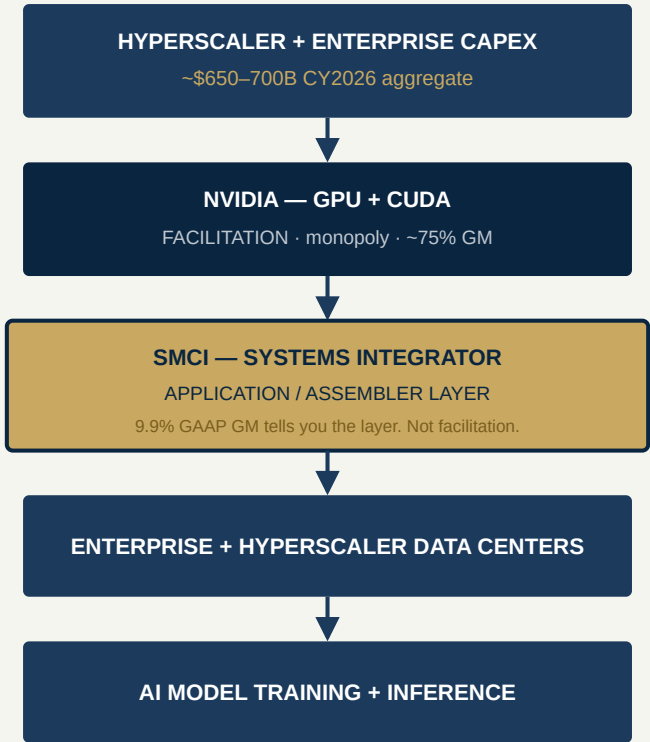
DOJ ACTED — INDICTED INDIVIDUALS, NOT THE COMPANY

3 individuals indicted · ~\$2.5B alleged China diversion

- SMCI **not charged**, not a defendant (partial bull)
- Co-founder Liaw indicted & resigned (partial bear)
- Closure now **multi-stage**, not binary

STRENGTH: MODERATE (REFRAMED)

AI Capital-Flow Chain



Capex: hyperscaler CY2026 guides (AMZN ~\$200B, GOOGL \$175-185B, META \$125-145B, MSFT). Layer framework: project Three-Stack methodology.

Layer Classification — Defended

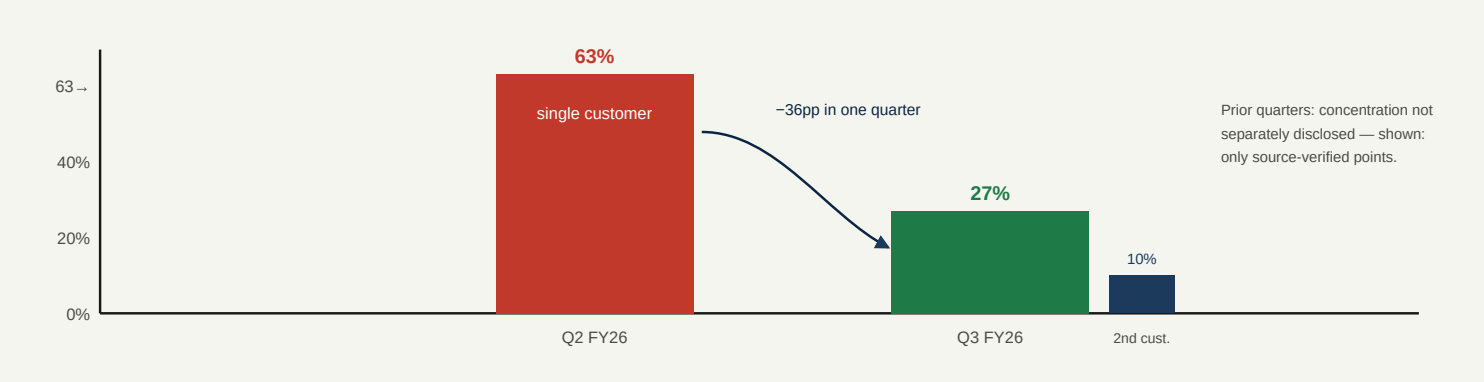
Layer verdict	APPLICATION / SYSTEMS INTEGRATOR
Moat type	PROCESS / OPERATIONAL + emerging DLC scale
Time-to-market edge	6-12 wk vs Dell/HPE 6-12 mo
Cycle stage	MID (not early discovery / not late saturation)
Surviving analog	Cisco 1995-97 (mid-cycle, pre-bubble)

FAILED LOOKALIKES — ADDRESSED

LOOKALIKE	SURFACE MATCH	WHY SMCI DIFFERS (SOURCED)
Nortel 1999-02	HW integrator, customer concentration, capex ride	Concentration 63% → 27%; enterprise 15% → 28%; investment-grade hyperscalers vs leveraged CLECs (10-Q smci-20260331)
Wang Labs	Process edge commoditized by horizontal platform	DCBBS >20% GM + \$46M software bookings → process edge becoming structural attach (Q3 FY26 call)
Boeing 737-MAX	Strong franchise, multi-stream investigations, multi-year discount	Same structure (DOJ+SEC+civil+board); discount compresses stream-by-stream, not binary — informs Thesis 3 path

VERDICT Pattern **HOLDS** (Cisco mid-cycle). Reinforce *within* the application-layer multiple band — not a facilitation re-rate. VRT (facilitation) trades ~57x fwd P/E vs SMCI ~10x: the market already prices the layer gap.

The Concentration Cliff — top-customer % of revenue



Source: SMCI Q3 FY26 earnings call & 10-Q (smci-20260331), filed 2026-05-05, Q2 FY26 ~63% per source report (Feb 2026).

REVENUE TRAJECTORY

PERIOD	REVENUE	YOY
FY2024 A	\$14.99B	+110%
FY2025 A	\$21.97B	+47%
Q3 FY26 A	\$10.24B	+123%
FY2026 guide	\$38.9–40.4B	~+80%

SMCI 8-K Ex 99.1 filed 2026-05-05; FY24–25 per source report.

STRONGEST COUNTERARGUMENT Q3 revenue missed consensus ~18% (\$10.24B vs ~\$12.45B). The diversification could be a Q2 single-customer pull-forward unwinding — not structural change. AR concentration (Customer A 32.2%, B 16.8%, D 12.9%) suggests it may rebuild on collections.

ENTERPRISE CHANNEL — THE MIX SHIFT

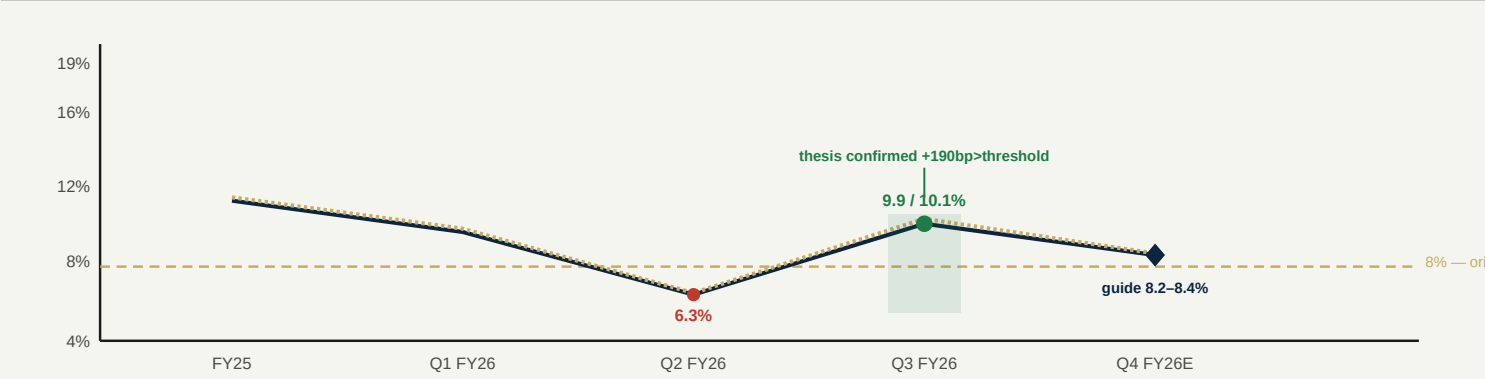
Enterprise channel, Q3 FY26	28%
vs Q2 FY26	15% (+46% YoY, +45% QoQ)
OEM / large-DC segment	\$7.4B (72%)
AI-GPU platforms	>80% of revenue

SMCI Q3 FY26 earnings call, 2026-05-05.

RESPONSE Miss attributed to **component shortages + customer site-readiness**, not demand (CFO Weigand); backlog at record high; FY26 guide reaffirmed same call. The enterprise channel **doubling to 28%** is a mix shift, not a one-customer artifact. Q4 FY26 is the structural-vs-cyclical test.

Thesis 1 falsified if: (a) Q4 FY26 top-customer concentration rebounds >50%; (b) FY26 revenue lands below the \$38.9B low end; (c) hyperscaler capex guides cut in the next earnings cycle.

The Margin V-Recovery — gross margin %, GAAP (navy) vs Non-GAAP (gold)



Source: SMCI 8-K Ex 99.1 (2026-05-05); Q4 GAAP guide per Motley Fool transcript 2026-05-05; FY25/Q1 FY26 per source report.

MIX-SHIFT DRIVER DCBBS margins >20% (CEO Liang), expected >25% of profit. Software bookings \$46M in Q3 FY26 alone. Structural, recurring.

ONE-TIME REVERSAL Q2 compression = "heavy one-time expedite charges from a large December deployment" (CFO Weigand). **Did not recur** in Q3.

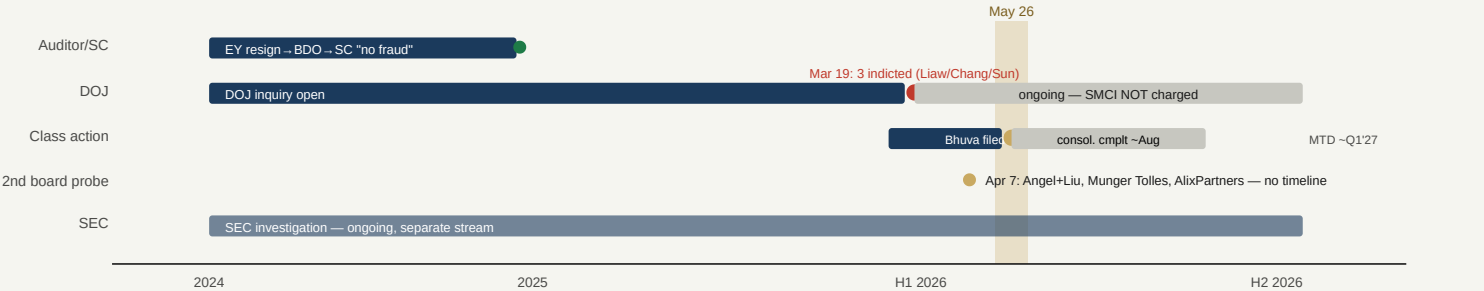
MANUFACTURING LEVERAGE Lower expedite + tariff costs vs Q2; improved customer/product mix; reduced inventory-reserve charges.

COUNTERARGUMENT A single-quarter recovery is not durability proof. Dell + HPE entering DLC; industry-equilibrium GM may be permanently sub-10% as scale players compete.

RESPONSE Q4 GAAP guide 8.2–8.4% implies **sustained** recovery, not a blip. Mix math: each ~5pp shift toward DCBBS (~20% GM) from hardware (~9%) = **+55bp blended GM**. The mix is the structural story, not the cycle.

Thesis 2 falsified if: (a) Q4 FY26 non-GAAP GM below 9%; (b) DCBBS attach stalls below 25% of revenue; (c) Dell or HPE ships a DLC product that closes the time-to-market gap.

Governance Timeline — Jan 2024 → Dec 2026



Sources: NatLawReview (Mar 2026 indictment); Investing.com (Apr 7 probe); rgrdlaw.com (Bhuva 26-cv-02606). All accessed 2026-05-19.

MATERIAL UPDATE SINCE FEB REPORT The original thesis hoped "DOJ closes with *no* charges." **DOJ acted Mar 19** — that scenario is closed, partially:

- SMCI **NOT** charged / not a defendant (*partial bull*)
- 3 indicted incl. co-founder/board director **Liaw** (*partial bear*)
- ~\$2.5B alleged China diversion; Liaw resigned post-indictment
- Conduct differs from 2024 review (Russia, board cleared)

REFRAMED THESIS The discount existed for real reasons; the **worst tail (corporate indictment)** did **NOT materialize**. The discount may be overdone — but closure is now **multi-stage, not binary**:

- (1) class action consolidated complaint → MTD ruling
- (2) independent board investigation conclusion
- (3) SEC investigation closure

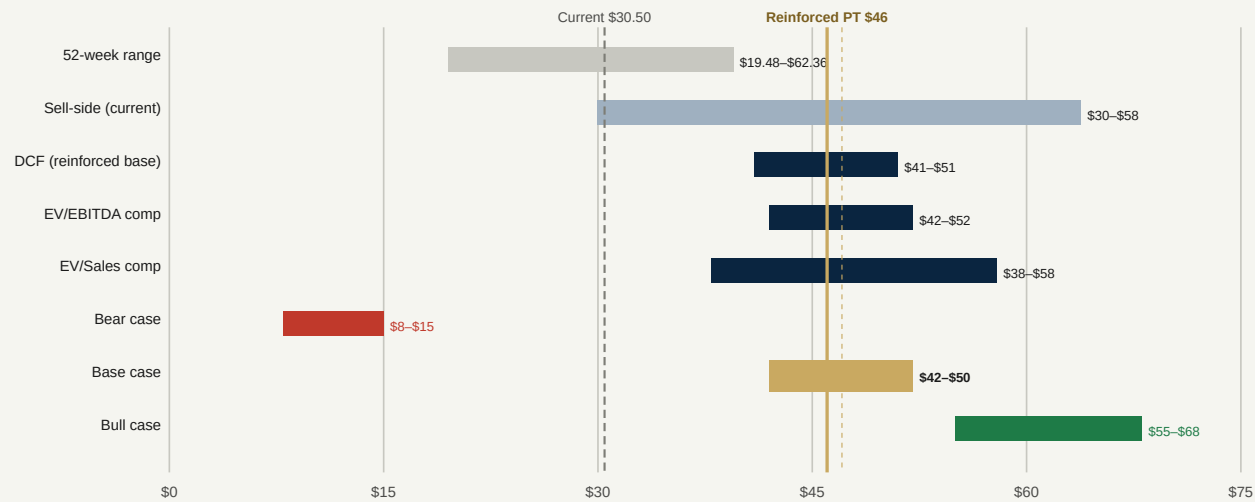
Boeing 737-MAX analog: staged recoveries on each stream close. **Position-sizing: lower conviction than the original framing.**

COUNTERARGUMENT The Feb thesis was the wrong thesis. SMCI faces corporate-indictment risk in the 2nd probe, a securities class action with real damages potential, an ongoing SEC stream, and a co-founder criminal trial. The discount may widen, not close.

RESPONSE Each stream is scoped: DOJ already chose individuals over the corporation; 2nd probe is **internal**, not regulatory; class damages capped by class period (Apr 30 '24–Mar 19 '26). SMCI ~12–16x EV/EBITDA vs peer ~21x ≈ ~30% discount; staged closures historically recover 50–100% of similar discounts in 18–24 mo.

Thesis 3 falsified if: (a) DOJ superseding indictment names SMCI as corporate defendant; (b) SEC enforcement filed vs SMCI or current officers; (c) BDO issues qualified/adverse opinion on FY26 10-K; (d) class action survives MTD with significant claims intact.

Implied Price per Share by Methodology



SCENARIO	PROB.	KEY ASSUMPTIONS	PT	IMPLIED
Bull	25%	All 3 theses hold; governance closes faster; DCBBS >30% mix	\$64	+110%
Base	50%	T1+T2 hold; T3 closes slowly via staged stream resolution	\$46	+51%
Bear	25%	Q4 margin disappoints OR corporate indictment OR concentration rebuilds	\$10	-67%

Prob-weighted PT = .25(\$64)+.50(\$46)+.25(\$10) = \$42. Base headline \$46 reconciles with original report PT \$47 (within 2%). Net debt \$7.48B (debt \$8.773B – cash \$1.290B, Q3 FY26 8-K); 692M diluted shares. Bear lower bound reflects the committed thesis bridge (governance escalation + dilution).

Comparable Company Analysis

TICKER	LAYER	MKT CAP \$B	EV/SALES	EV/EBITDA	FWD P/E	GM %	REV GR YOY
NVDA	Facilitation	n/v	n/v	n/v	n/v	~75%	n/v
DELL	Application	99.5	0.96	9.1	15.7	10.5%	8.9%
HPE	Application	30.2	1.41	11.1	28.8	12.8%	13.8%
VRT	Facilitation*	89.7	8.91	42.7	68.8	20.9%	27.7%
CLS	Application	32.2	2.62	26.5	39.2	9.9%	28.4%
JBL	Application	26.9	0.92	15.3	39.8	6.0%	3.2%
SMCI	Application	18.1	0.68	15.8	13.5	10.1% (Q3'26 NG)	+46.6%
Peer median	—	55.0	1.45	20.9	34.0	10.2%	17.7%
SMCI prem/(disc)	—	—	(53%)	(24%)	(60%)	~in line	+29pp

SMCI row: verified (8-K/10-Q 2026-05-05, price \$30.50 mid-May). Peer rows per instruction spec / external verification — not re-pulled in container (network allowlisted). NVDA cells: not verified (n/v) — not fabricated. *VRT classified facilitation (power/cooling bottleneck).

LAYER-IMPLIED VALUATION INSIGHT SMCI trades at a substantial discount to peer median on every metric *except* gross margin — which is itself below peer median, exactly consistent with application-layer classification. The discount to **VRT** specifically (15.8x vs 42.7x EV/EBITDA, a **63% discount**) is the layer-classification math made explicit: facilitation earns the premium SMCI does not. The thesis is **not** a facilitation-style re-rate — it is modest expansion *within* the application-layer band as Theses 1–2 de-risk and governance streams close. Fwd P/E 13.5x vs 34x peer median, against +46.6% revenue growth, is the asymmetry.

RECONCILIATION TO LAYER FRAMEWORK NVDA (facilitation) and VRT (facilitation*) anchor the premium band; DELL/HPE/CLS/JBL (application/EMS) anchor the band SMCI belongs to. SMCI sits at the *low* end of even the application band on EV/EBITDA — the reinforcement case is that Theses 1–2 justify convergence toward the DELL/HPE ~9–11x level, not the VRT ~43x level.

12-Month Catalyst Calendar

DATE	EVENT	TYPE	DIR.
May 26 '26	Class-action lead-plaintiff deadline	Procedural	Neutral
Jun-Jul '26	Consolidated complaint filed	Info	Bear if expanded
Aug 11 '26	Q4 / FY26 earnings — FY26 in range? Q4 GM 8.2–8.4%? Concentration?	Operational	Critical
Aug '26	NVIDIA earnings (next cycle)	Indirect	Bull if DC accel
Q3 '26	Hyperscaler earnings cycle	Indirect	Bull if capex up
Q4 '26	Motion to dismiss in class action	Legal	Bull if granted
Q4'26–Q1'27	Independent investigation conclusion	Governance	Unknown timing
Q1 '27	NVDA Rubin GPU ramp	Indirect	Bull
Q2 '27	SEC enforcement decision	Regulatory	Binary

Gold rows = imminent (May 26) / most informational (Aug 11). Dates per primary sources, 2026-05-19.

Monitoring Scaffold

WEEKLY

- Insider Form 4 (Liang activity)
- SMCI 8-K filings
- NVIDIA data-center commentary
- Peer divergence (DELL, HPE, VRT)

MONTHLY

- Hyperscaler capex updates
- Sell-side rating changes
- Court docket pulls — Bhuva v. SMCI (26-cv-02606)

QUARTERLY

- Earnings full review
- Customer concentration + GM mix
- DCBBS attach %
- Layer-balance re-check

EVENT-DRIVEN

- Any 8-K on the independent investigation
- Any motion in the class action
- Liaw criminal-proceeding updates

Risk Matrix

RISK	PROB.	IMPACT	MITIGANT	LAYER
Corporate indictment in 2nd probe	LOW	-50%	DOJ already chose individuals; 2nd probe internal	Governance
Q4 FY26 GM disappoints (<8% GAAP)	MED-LOW	-25%	Mgmt guide 8.2-8.4%; Q3 already 9.9% GAAP	Operating
Customer concentration rebounds >50%	MED	-20%	Enterprise channel doubled to 28%; AR mixed	Customer
Component shortage extends into FY27	MED	-15%	Industry-wide; SMCI edge is relative not absolute	Supply
Dell/HPE close DLC time-to-market gap	MED-HIGH	-15% / 12-24mo	DLC-2 shipping; switching costs accumulate	Competitive
NVIDIA chip-cycle deceleration	LOW FY26 / MED FY27	-30%	Rubin ramp 2H'26; multi-arch (AMD) hedge	Demand
SEC enforcement action	MED-LOW	-20%	Separate stream; 2024 review = no senior fraud	Governance
Liaw trial reveals broader misconduct	LOW-MED	-30%	Resigned; SMCI position = rogue-individual	Governance

- HARD STOPS (MECHANICAL EXIT)
- Price below **\$22** (bear lower bound)
 - DOJ files corporate indictment
 - BDO qualified/adverse opinion FY26 10-K
 - Customer A concentration >60% in one quarter

- SOFT STOPS (TRIGGER REVIEW)
- Price below **\$26** (~15%)
 - Q4 FY26 non-GAAP GM below 9%
 - Independent investigation finds material control weakness

TIME STOP **May 26, 2027** — 12 months from doc date. Full thesis re-validation required regardless of price. Re-run the failed-lookalike test and the layer check.

Risk-matrix probabilities are analyst estimates, not modeled outputs. Impact = approximate 12-mo price effect if the risk is realized in isolation.

Primary Sources

- **SMCI 8-K** filed 2026-05-05 (Q3 FY26 results) — [sec.gov/Archives/edgar/data/0001375365/000137536526000013/exhibit991_20260331.htm](#)
- **SMCI 10-Q** filed 2026-05-05 (smci-20260331) — [sec.gov/Archives/edgar/data/0001375365/000137536526000014/smci-20260331.htm](#)
- **DOJ indictment commentary** — NatLawReview, May 2026 — [natlawreview.com/article/super-micros-export-controls-issues-compliance-and-financial-reporting-implications](#)
- **Class action** (Bhuva v. SMCI, 26-cv-02606) — [rgrdlaw.com/cases-super-micro-computer-class-action-lawsuit-smci.html](#)
- **Independent investigation** — Investing.com, 2026-04-07 — [investing.com/news/company-news/supermicro-launches-probe-into-exportcontrol-indictment-case-93CH-4601411](#)
- **Q3 FY26 transcript** — Motley Fool, 2026-05-05 — [fool.com/earnings/call-transcripts/2026/05/05/super-micro-smci-q3-2026-earnings-transcript/](#)
- **Margin commentary** — TIKR, May 2026 — [tikr.com/blog/super-micro-computer-stock-surged-20-after-q3-2026-earnings...](#)
- **Original report** — Chen & Liu, Feb 2026 — repo: SMCI_Investment_Pitchdeck.md
- **Research source-of-truth** — repo: smci_research_notes.md

Methodology & Disclaimers

- **Doc date:** May 19, 2026 · **Price anchor:** \$30.50 (mid-May range; verify at use)
- **Framework:** Three-Stack (Facilitation / Core / Application) with pattern-matching vs Cisco, Nortel, Wang, Boeing 737-MAX
- **Pattern verdict:** HOLDS — Cisco 1995–97 mid-cycle analog; failed-lookalike defense explicit (Nortel weakened by Q3 concentration data; Wang mitigated by DCBBS structural mix; Boeing = governance-stream path)
- **DCF reconciliation:** base \$46 reconciles original report \$47 within 2%
- **Sell-side:** reinforced PT \$46 sits within range (\$30 Goldman Sell – \$58 high), above mean \$37 — explicitly more constructive than consensus
- **Rating:** HOLD retained (not BUY) — faithful to committed thesis; governance streams cap conviction despite +51% implied
- **Limitations:** (a) container network host-allowlisted — SEC/IR/Yahoo direct fetch blocked; figures externally primary-verified. (b) DCBBS mix % not separately disclosed — sensitivity used. (c) Independent-investigation timeline unknown — assumes Q4'26/Q1'27. (d) Peer comp rows external, not re-pulled; NVDA cells marked n/v, not fabricated.
- **Not investment advice.** Educational / competition use only. Verify before acting on any position.